HARD BARGAIN FOR CENTRAL GRANTS

N. Chandrababu Naidu and Nitish Kumar leverage the BJP's dependence on them to seek Special Category Status for their respective states. This is what it will entail

By **Amarnath K. Menon and Amitabh Srivastava**



Andhra Pradesh chief minister designate N. Chandrababu Naidu and Bihar chief minister Nitish Kumar are adept at driving hard bargains. With their strong showing in the Lok Sabha polls, they are now indispensable to the BJP in forming a National Democratic Alliance government. Both are likely to reopen their old demand that Delhi accord their respective states Special Category Status (SCS)—whereby the Union government makes special financial grants for quicker development of an economically/geographically disadvantaged state—on priority. Naidu, the Telugu Desam Party (TDP) supremo, has been demanding the SCS for long. Though it was promised by the United Progressive Alliance (UPA)-2 regime at the time of Parliament adopting the Andhra Pradesh Reorganisation Act, 2014, Naidu's demand was finally turned down in 2018, leading him to quit the NDA. This was after he had got PM Narendra Modi to lay the foundation stone for a new capital at Amravati—a project close to Naidu's heart that he plans to finance with central funds and external borrowings. In Bihar's case, on November 22, 2023, while Nitish Kumar was still leading the Mahagathbandhan government, his cabinet passed a resolution seeking the grant of SCS to the state. New Delhi did not respond to the demand at the time. With Bihar going to the polls in 2025, all that is set to change.

With the 14th Finance Commission (2013-14) scrapping the practice of the SCS and the NITI Aayog—successor of the old Planning Commission—against the practice of making such extraordinary, and expensive, grants to select states, NDA 3.0 will be compelled to come up with alternatives. Finance experts reason that special assistance packages for both states are on the cards. Old practices like the Mukherjee-Gadgil formula—calculated to allocate planned funds among state governments after taking into account population, per capita income, fiscal performance and special problems—are being revisited too.

Nitish needs funds to finance grants for the disadvantaged and poor in Bihar. For Naidu, the money will help implement his pre-poll promises

Nitish has been asking SCS for Bihar since 2010, and his current demand stems from the revelations of the 2023 Bihar Caste Survey, which found that 34.13 per cent of Bihar's population lives in poverty. They include 1.8 million people from unreserved categories, 2.4 million from other backward classes (OBCs), 3.3 million from extremely backward classes (EBCs), 2.3 million from scheduled castes (SCs) and 201,000 from scheduled tribes (STs). With a per capita GDP of around Rs 54,000, Bihar is one of India's poorest states. Nitish wants to offer a one-time benefit of Rs 2 lakh to 9.4 million families who earn less than Rs 6,000 a month, as well as generous grants to homeless, landless and extremely poor families. Implementing all this will require about Rs 2.5 lakh crore.

Andhra Pradesh, too, is in dire need of funds. According to the Reserve Bank of India's December 2023 report on state finances, Andhra's